North America Economic Research
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US Weekly Prospects

Economic and Policy Research

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See page 22 for analyst certification and important disclosures.

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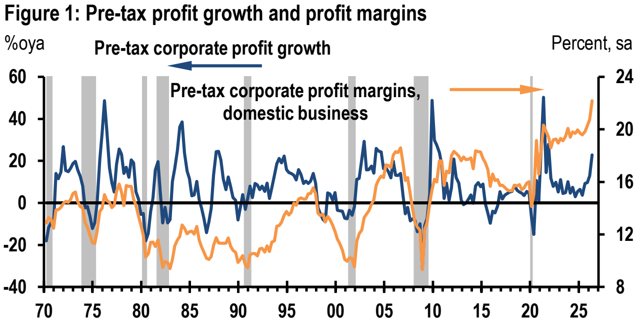
United States

- **Warsh's Jackson Hole speech was moderately hawkish**
- **We still think the FOMC won't hike until December, but a firm August CPI could deliver a September hike**
- **2Q profits were strong and early 3Q data likewise solid, leading us to raise 3Q GDP from 2.5% to 2.75%**
- **Next week: 50k payrolls, 4.1% unemployment rate**

Fed Chair Warsh's Jackson Hole speech again eschewed forward guidance but did provide more clarity on how he sees the current state of the economy, while also affirming the Fed's 2% PCE target after having wobbled on that point at the July press conference (see our writeup). The net takeaway was somewhat hawkish and markets re-priced the probability of a September hike from 36% yesterday to 60%. We continue to expect that a hike won't come until December, though agree that the September meeting is live. Moreover, regardless of the exact timing of hikes, Warsh's speech suggested a Chair more willing to translate his concern about inflation into a policy tightening.

Between now and the September FOMC meeting we get one employment report and one CPI report. We expect next week's employment report will show a 50k increase in payrolls and a stable 4.1% unemployment rate. While a summer downside surprise on jobs is possible, the unemployment rate trend should be sufficient to leave FOMC members with a reasonably favorable view of the labor market. That then shifts the focus to the next inflation report, which should have more bearing on the FOMC outcome. A reading in the low 0.2%m/m range is probably sufficient to keep the Fed on hold for a little while longer, though this remains a close call.

Figure 1: Pre-tax profit growth and profit margins



Source: BEA, J.P. Morgan

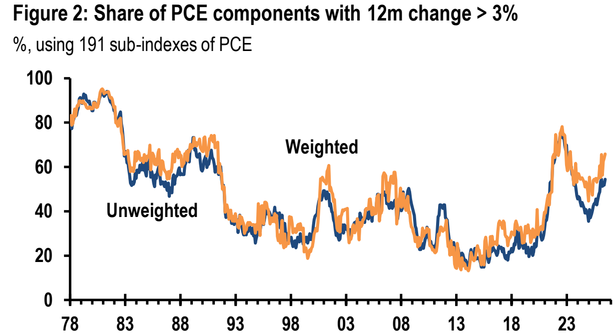
This week's economic reports were generally upbeat, and we've raised our 3Q GDP tracking from 2.50% to 2.75%, moving closer to the 3% rate suggested by the July PMI, which had continued to rally earlier this month. We've boosted our consumer spending forecast a percentage point, to 2.75%, and see equipment investment again rising more than 10%, meaning it should be another solid quarter for private domestic final demand. Corporate profit growth was robust (Figure 1), which augurs well for future job growth, and the low level of jobless claims suggests the possibility that unemployment will fall below the 4.0% level we've forecasted for next year.

More clarity at Jackson Hole

Chair Warsh's Jackson Hole address contained a more substantive discussion of current economic conditions than he has previously offered. There were two clear takeaways. First, he expressed broad comfort with the state of the labor market, remarking that "On the employment side of the Fed's dual mandate, our country is doing well," and that "I believe the labor markets are consistent with full employment." He also considered some pockets of concern that have arisen over time — low turnover, low job growth, young college graduates — and noted either that these were in fact not so concerning or that good aggregate performance was ultimately more important.

Second, having established the upbeat news in the labor market, he emphasized that on inflation "the numbers are more concerning." Moreover, were underlying inflation to fail to get back to target with sufficient speed, then "we have work to do." Warsh was also clearer than in his last press conference about what that work might entail, noting in a section on principles that "short-term interest rates are the predominant tool to achieve the dual mandate." In discussing the concept of underlying inflation, he brought up inflation breadth, a topic that Governor Waller has also recently hit on. This appears a less opportunistically-chosen inflation metric than his earlier dalliance with trimmed-mean PCE: unlike the trimmed-mean, the above 3% share is still well above even pre-GFC norms (Figure 2).

Figure 2: Share of PCE components with 12m change > 3%



Source: BEA, J.P. Morgan

In many ways, the discussion of the economy was quite conventional and in line with what prior Fed Chairs might have said. We've recently been critical of Warsh for not providing more clarity on his reaction function, and in this speech he

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explicitly argued that providing a clear-cut function, such as a Taylor rule, would be difficult. We don't disagree. But we think the economic summary in his speech got at the answer in a reasonable way, by articulating how the Fed is performing against its dual mandate, and linking progress toward the mandate to monetary policy actions.

Strength in profits

Corporate profits rose 41%q/q saar in 2Q, and 23%oya. It was the best quarterly outcome in five years, and if you exclude post-recession recoveries, the best four-quarter change in more than 20 years. Profit margins, which were already high post-COVID, advanced again to historically elevated levels.

The link between profits and jobs in the midst of an expansion is somewhat loose, but strong profitability, which is going hand-in-hand with moderate labor costs, should provide room for firms to continue to grow hiring in the quarters ahead. At a minimum, the profit path is the opposite of a late-cycle compression brought about by rising wages. One caveat to this is that the largest source of profit growth is the technology sector, which is itself still shedding jobs. AI investments could also potentially be used to trim labor, though we don't expect any significant near-term rise in aggregate joblessness from AI.

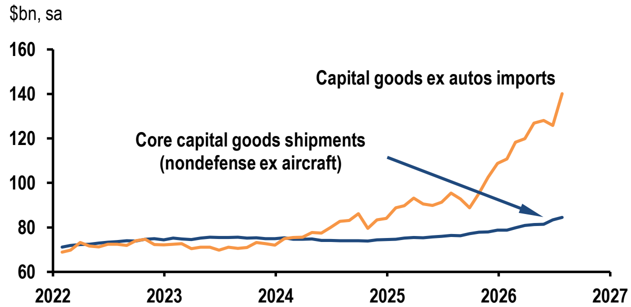
The other benefit of solid profit margins and low unit labor costs is that it gives firms some flexibility to raise wages without putting too much upward pressure on inflation. Unit labor costs only rose 1.4%oya in the year to 2Q.

Activity data looking solid

As expected, the July PCE report showed no change in real consumer spending. A drop in auto sales and the shift of some online sales events from July to June had dinged the July spending data. Although this was in line with our forecasts, we had already been seeing some upside risk to our original 1.75% real PCE forecast for 3Q. And with Chase card spending data looking strong for August, we decided to raise the third quarter.

Incoming signals on equipment investment also look solid. Core capital goods orders growth moderated in July, though this came after significant gains in prior months, and shipments continued to rally (Figure 3). Tech investment mostly shows up in net trade, and there too the signal was positive, as the capital goods deficit widened considerably. The ongoing growth in tech spending is not surprising. We noted last quarter also saw a broadening out in equipment spending growth, and we will be watching to see if that continues through this quarter as well.

Figure 3: Core capital goods shipments, capital goods ex auto imports



Source: Census Bureau, J.P. Morgan

The one piece of the activity data that was less impressive was housing, as new single-family home sales dropped 10%m/m in July and sales are down 13% saar on a 6m/6m basis. The housing sector continues to be restrained by high interest rates, and elevated new home inventories could continue to dampen housing construction. We also wrote this week about how sluggishness in home-sale activity is translating into lower spending on home improvements. Even as equipment investment is strong, this is one factor contributing to the gradual normalization of durable goods spending back toward pre-COVID shares.

Other matters to attend to

Late last Friday trade talks broke down between the US and Canada, causing 50% tariff rates on about 5% of Canada's imports to the US to go into effect. On an aggregate basis, this only raises the global tariff rate about 0.2%, so the immediate implications for the US economy are small. More important is that this highlights the ongoing uncertainty related to US trade policy, with the administration testing new legal authorities — Section 338 in this case — and starting to tariff some USMCA compliant goods. Both of those points are likely to lead to legal challenges. No new trade talks have been scheduled, and it is unclear how long these new tariffs will be in effect. Canada has also announced retaliatory tariffs that will go into effect on September 8, and the US administration has in turn threatened further escalation.

This week also ended with the BLS publishing the preliminary estimate of the 2026 payroll benchmark. It showed a 79k (178k private) downward revision to the March 2026 level of employment. The benchmark update won't be finalized until early next year, and the key data used in the benchmark are likely to be revised up by then, which would yield a small positive revision. The key takeaway is that after a couple years of large downward revisions to employment, this year's benchmark shouldn't produce much net revision in either direction.

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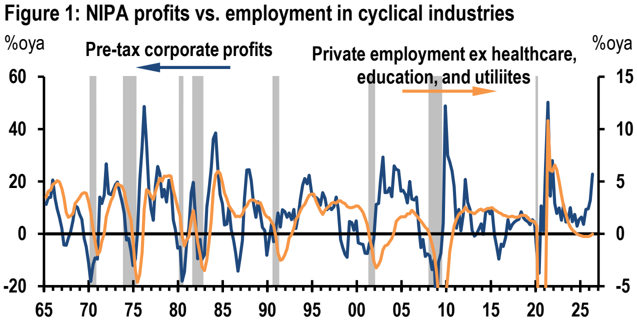
US Focus: The effect of soaring profits

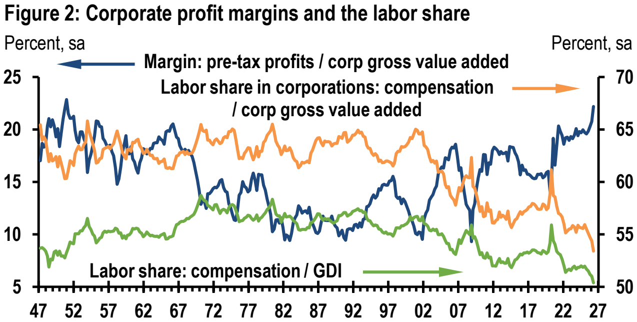
Nominal pre-tax corporate profits in the national income and product accounts (NIPA) were very robust in both 2Q (41% ar) and over the last year (23%). Excluding post-recession spikes, we haven't seen a year this strong since the mid-2000s. This kind of profit growth should eventually translate into stronger labor demand, a point discussed more in the global context here. Since the mid-1980s, there has been a somewhat loose relationship between profits and employment gains during expansions, and weak population growth could continue to depress absolute job gains relative to past cycles (Figure 1). But the key point is that despite already-low unemployment, we aren't seeing the typical late-cycle compression in profits as wage costs accelerate. That provides a runway for firms to grow hiring and possibly wages, supporting our view that the unemployment rate will remain at low levels. Indeed, given recent trends in indicators such as continuing claims, there is an increasing risk that the unemployment rate will dip below our forecast's 4.0% floor.

Figure 1: NIPA profits vs. employment in cyclical industries



Source: BEA, BLS, J.P. Morgan

Figure 2: Corporate profit margins and the labor share



Source: BEA, J.P. Morgan

In absolute terms, corporate profits can grow owing to faster GDP growth, a larger role for corporate business in the economy, or higher margins. Higher margins are the key driver, as 23%oya domestic profit growth was far in excess of the 8% increase in corporate value added. Profit margins (pre-tax profits divided by value added) increased close to 250bp over the last year, and are approaching all-time highs, whereas the labor share is hitting new lows (Figure 2). Note that the 2Q profit improvement is not related to IEEPA refunds, which don't affect NIPA profits. Lower post-IEEPA tariffs also played only a small role in the 2Q profit increase: annualized profits rose $400bn q/q whereas customs duties ex IEEPA refunds—which subtract from pre-tax profits—only fell $20bn.

One possible source of slippage between profits and hiring could be the industry makeup of rapid profit growth. The industry breakdown for 2Q is not yet available, so we illustrate by looking at net income for S&P 500 firms (Table 1). Over half of profit growth in the last year has come just in technology. That industry has been steadily losing employment since late 2022 and is well below the pre-COVID trend, despite consistently high earnings. And while we aren't overly worried about an AI-induced job apocalypse, some of the profit growth here is arguably premised on the idea of saving labor in other sectors.

Table 1: Change in S&P 500 net income ($bn)

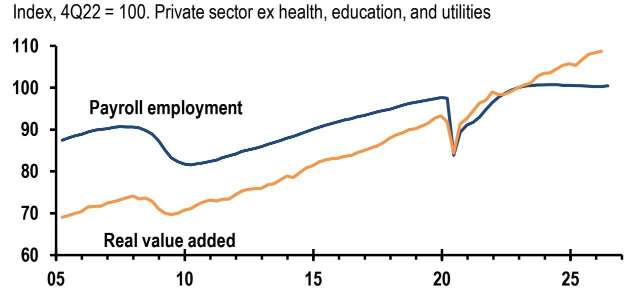
	2Q26 - 1Q26	2Q26 - 2Q25	2Q26 (12m) - 2Q25 (12m)
Energy	34	35	35
Materials	4	5	12
Industrials	10	8	22
Discretionary	39	47	69
Staples	5	4	9
HealthCare	-4	-5	-3
Financials	27	38	115
Technology & Comm Svcs	85	184	363
Utilities	-1	1	3
Real Estate	-1	0	5
Total	196	316	629
Memo: Tech & Comm Svcs / Total (%)	43	58	58

Source: FactSet, I/B/E/S, J.P. Morgan

One other point of caution is that high profit margins in prior quarters didn't translate into much job growth, although the unemployment rate stayed low. Per Figure 2, while profit margins jumped in the last year they were already at historically high levels ever since COVID. However, employment growth in the cyclically sensitive part of the labor market — the private sector less health, education, and utilities — has mostly flat-lined since 2022, despite rising output (Figure 3).

Figure 3: Real value added vs. employment in cyclical sectors

Index, 4Q22 = 100. Private sector ex health, education, and utilities



Source: BEA, BLS, J.P. Morgan

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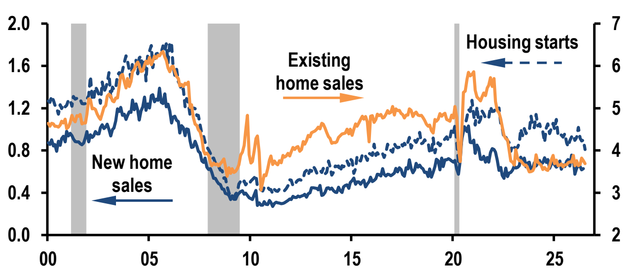
US: Little room for improvement

- **Spending on residential improvements has contracted over the past year, despite gains in household wealth**
- **Renovations have been weighed down by low housing turnover, high mortgage rates, and tariffs**
- **The lack of growth in improvements may be emblematic of broadly weaker spending on durable goods**

Consumers have shown remarkable resilience in recent years as the unemployment rate has remained low while many households, particularly upper-income ones, have experienced sizable gains in their net worth. Despite this favorable backdrop, the housing market has remained stagnant for several years (Figure 1). Both inventories and mobility are low as home prices and mortgage rates remain high, keeping affordability depressed and many homeowners stuck in place.

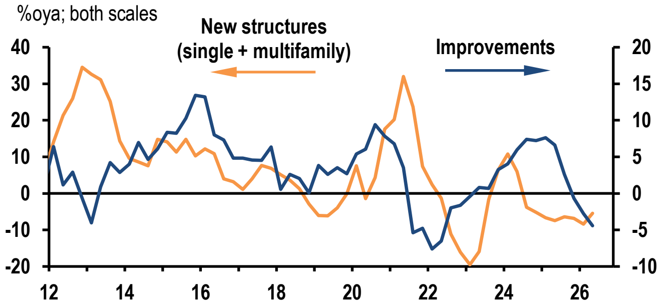
Figure 1: Single-family housing market
Million units, both axes



Source: Census Bureau, NAR, J.P. Morgan

Consistent with the above slowdown in starts, investment in new structures fell for eight consecutive quarters before finally posting a small annualized gain in 2Q26. Nonetheless, investment in real structures has contracted 5.5% over the past year. Sequential home improvement spending has also declined in each of the past four quarters, pulling the year-ago growth rate below zero (Figure 2). Spending on improvements is currently nearly 40% of total residential investment.

Figure 2: Components of real private fixed residential investment
%oya; both scales

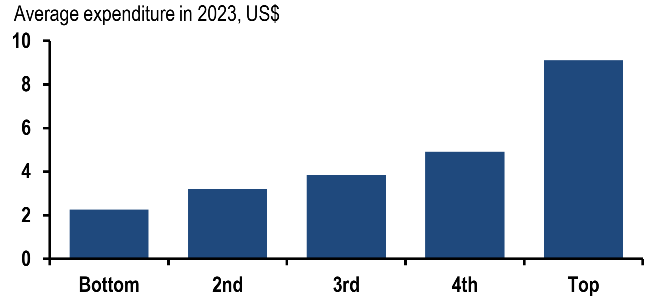


Source: BEA, J.P. Morgan

Figure 2 also highlights that spending on improvements tends to be cyclical, following sales with a lag of 3 to 6 quarters, as new owners undertake needed repairs and desired improvements. [Micro-level studies](#) find that outlays on renovations tend to be front-loaded in the years immediately following a purchase and taper off as owners settle in. But with fewer home sales (again, Figure 1) and less mobility than in the past, the weak housing market is now depressing spending on the durable goods (e.g., building materials, fixtures, appliances) that constitute residential investment in improvements.

Despite the economic health of upper-income households, who tend to be more likely to own their own homes and who have accounted for a disproportionate share of improvement spending in recent years (Figure 3), owners deterred from relocating by high financing costs have not chosen to renovate their existing homes instead. Rather, real spending on renovations and remodeling has weakened sharply this year, with the year-ago rate falling 4.4% in 2Q26.

Figure 3: Household spending on home improvements by income
Average expenditure in 2023, US$



Source: JCHS, Census Bureau, J.P. Morgan

A variety of factors appear to be contributing to this slowdown, including high mortgage interest rates (which discourage refinancing or taking a home equity line of credit) and high prices for building materials, fixtures, and appliances. While prices for these renovation-related items surged in the aftermath of the pandemic supply chain disruptions, tariffs put in place since early 2025 have compounded these affordability issues, further depressing real spending on home improvements. This represents an important drag on goods demand by US consumers that appears likely to persist.

A surprising and underappreciated drag

Indeed, the outlook for private residential spending on improvements is weak. The [Leading Indicator of Remodeling Activity](#) (LIRA), produced by Harvard's Joint Center for Housing Studies, projects the smoothed four-quarter average of spending to slow from 2.0% through 2Q26 to just 0.5% for 2Q27 (Figure 4). Given that real improvements spending is already running well below nominal—down 4.4%oya against roughly flat nominal growth—the real outlook is weaker still.

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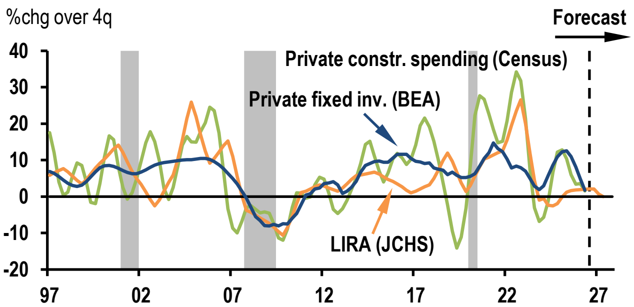
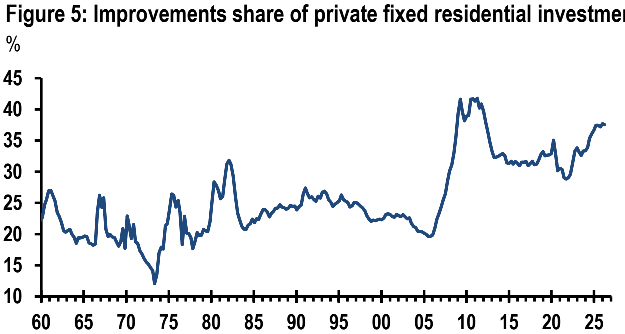
Figure 4: Measures of home improvement spending (nominal)



Source: Census Bureau, JCHS, J.P. Morgan; shading denotes US recessions

While new private residential construction of single-family and multi-family structures gets the bulk of attention in markets, spending on remodeling now accounts for nearly 40% of private residential investment (Figure 5). This share has rebounded since the pandemic; it was closer to 30% from 2015-19 and had averaged less than a quarter in the two decades before the GFC.

Figure 5: Improvements share of private fixed residential investment

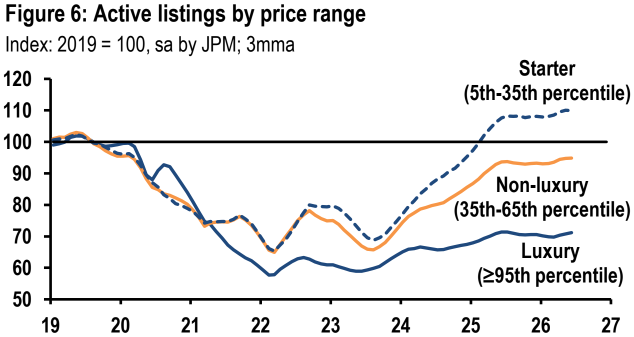


Source: BEA, J.P. Morgan

Luxury scarcity offers little lift

Supply is scarce at the upper end of the market, where active listings remain well below pre-pandemic levels (Figure 6). Given that high-income households account for a disproportionate share of improvement spending, one might expect affluent owners—unable to find homes to move into—to direct more spending toward renovating their homes instead.

Figure 6: Active listings by price range



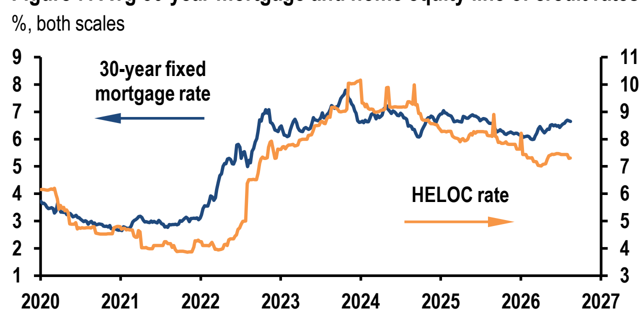
Source: Redfin, J.P. Morgan

Yet this potential source of demand has not been enough to lift overall improvement spending. High-income homeowners may be staying put, but they do not appear to be renovating at a pace sufficient to offset other drags. And, as noted earlier, growth in improvement spending has been highly procyclical, closely following existing home sales with a lag. Indeed, existing home sales enter JCHS's LIRA model with a five-quarter lead. The persistent weakness in sales therefore helps explain why improvements spending has remained weak. This low pace of housing turnover has been abetted, in turn, by elevated financing costs.

The financing constraint

High mortgage rates have weakened improvement spending through two channels. First, they have reduced housing turnover and the renovation activity that often accompanies a home purchase. Mortgage rates have remained above 6% since the Fed's hiking cycle and have risen another 55bp over the past six months (Figure 7). With rates still well above those on most outstanding mortgages, many homeowners have little incentive to move.

Figure 7: Avg 30-year mortgage and home equity line of credit rates



Source: Federal Home Loan Mortgage Corporation, Bankrate.com, J.P. Morgan

Second, high interest rates have made it more expensive for homeowners to finance improvements by drawing upon their home equity. Record-high home prices have generated substantial equity, but they have also raised the cost of purchasing a larger or newer home and increased the potential size of renovation projects. Homeowners therefore face a one-two punch: moving is prohibitively expensive, while borrowing to improve their current home is costly as well.

Tariffs add to renovation costs

Higher mortgage rates and the concomitant reduction in mobility and housing supply aren't the only costs putting a lid on spending on improvements. Tariffs have added another obstacle to a recovery in improvement spending. The realized tariff rate on a basket of imported home-improvement products reached 15.4% in June, more than double the 6.8% rate across all US imports (Figure 8). Metals products were the clear outlier at 36.5%. Realized rates for wood products, fin-

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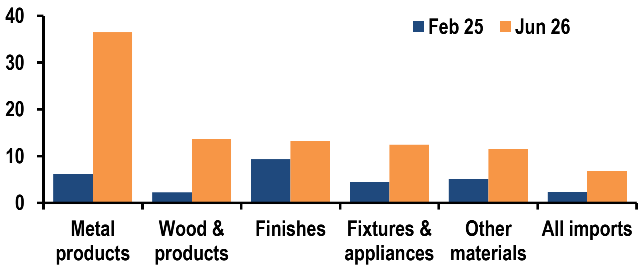
ishes, fixtures and appliances, and non-metallic materials ranged from 11.5% to 13.7%.

Figure 8: Realized tariff rate on imports of home improvement goods

%, Calculated duties* as share of import value



Source: USITC, J.P. Morgan; *Derived using duty rates from Harmonized Tariff Schedule

Imported materials account for a portion of projecst costs, and higher duties on building products, appliances, and fixtures have raised costs at the margin. Labor is another component of construction costs that, while not directly impacted by tariffs, may see some pressure to the upside (at least in certain markets) as the crackdown on immigration continues. These higher costs could lead to renovations being delayed or deferred, with some portion potentially shifted toward less expensive repairs.

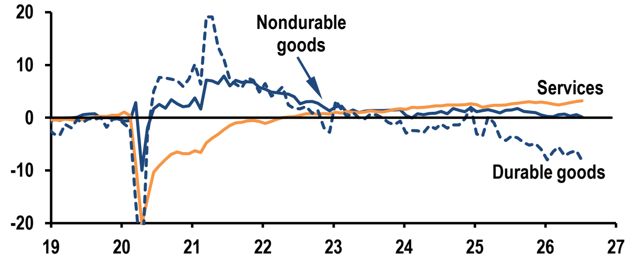
A fading appetite for durable goods

Taking a step back, the weakness in home improvement spending also appears to reflect a broader post-pandemic shift in household demand. Consumers sharply increased their purchases of durable goods early in the pandemic, including many products used to furnish or improve their homes. That boom has since faded as consumption has rotated back toward spending on services.

Real spending on durable goods is running below its pre-pandemic trend and continues to soften (Figure 9). By contrast, spending on services and nondurable goods remains above trend. The weakness in remodeling therefore reflects more than just a stagnant housing market. It also appears to be part of a broader normalization in household spending after the pandemic-era surge in demand for homes and home-related goods. Many younger families report feeling closed out of homeownership due to affordability issues, which may be adding to a shift in spending away from accumulating durable goods and instead toward experiences (e.g., services).

Figure 9: Real consumer spending relative to pre-pandemic trend

% deviation from trend, estimated Jan 2015 - Dec 2019



Source: BEA, J.P. Morgan

This dynamic has implications beyond the consumer space, as it suggests that one historically important channel for goods demand—namely housing construction—is likely to contribute to soft production by industry. Outside of the AI space, capex has been limited to tech-adjacent spending (such as power generation and data center equipment) plus some pickup in capex for oil and gas exploration and extraction as global energy prices remain elevated. But direct evidence of a broader capex recovery remains scarce, and the weakness not only in new residential construction but also in spending on improvements is a contributing factor.

J.P.Morgan

Global Data Watch: Demand is rebalancing without an expected job rebound

- **Growth picks up on the back of services and non-tech business spending**
- **A broad-based surge in corporate profits**
- **Warsh suggests he will advocate hiking absent a core inflation moderation**
- **Next week: Global PMI up; soft US jobs and Euro area core HICP; BoI cut**

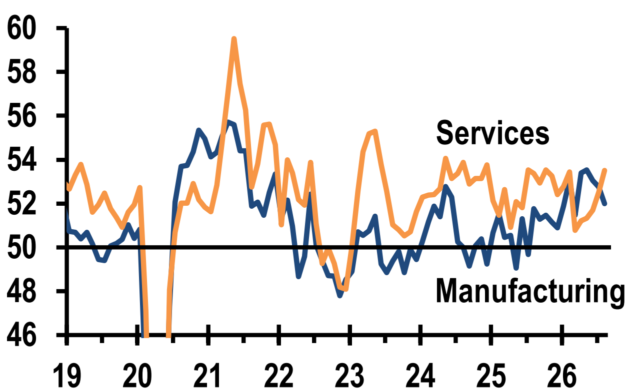
Tech spending continues to boost growth, but it is other sources fueling an acceleration in global GDP growth this quarter. The latest reports from Asia and the US show a rebound in non-tech activity is gathering momentum, in part as the stockbuilding cycle turns positive. A moderation in consumer goods spending took hold around midyear, but a pickup in service sector spending appears to be sustaining solid overall consumption gains. In the US, real services spending rose at a 4.4%ar in the three months through July, while spending on goods slipped to a 0.9%ar increase. This surprising service sector strength underlies this week's upward revision to our current quarter US personal consumption (and GDP) growth forecast to a 2.75%ar. We look for this rotation to be reflected in next week's August global PMI report, where the net of a rebound in services and a manufacturing moderation lifts the composite PMI to its highest level in over three years (Figure 1).

This rebalancing in global demand is at the core of our outlook narrative, which has anticipated a cyclical lift outside tech as last year's business sentiment shock fades. The normalization of sentiment that began as we turned into this year was interrupted by the outbreak of the Middle East conflict last quarter. August survey readings show our business composite expectations index more than reversing this decline and aligning with the pickup in non-tech business spending.

Demand rebalancing has not, however, been accompanied by balanced income gains. Global profits surged 35%oya in the second quarter, with MSCI-reported profit growth accelerating in 24 of the 28 tracked economies (Figure 2). In the US, corporate profits jumped 9.1% last quarter (non-annualized) and are up 23%oya. The rising inflation and weak job growth that contributed to this outcome has depressed household real purchasing power across most of the globe. Global CPI inflation is moving lower this quarter — we are tracking a deceleration to 2.5%ar this quarter from last quarter's 5%ar spike — but the income rebalancing that we anticipate requires firmer labor demand. Job growth has remained sluggish, however, with

Figure 1: Global output PMI

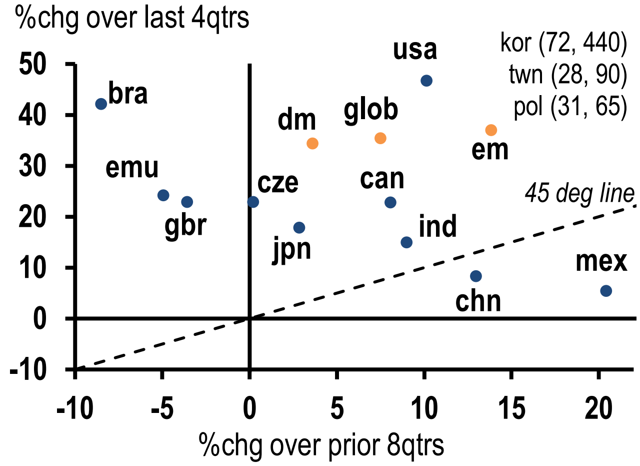
DI, sa; incl. August fcst.



Source: S&P Global, J.P. Morgan

Figure 2: Corporate profits by country

%chg over last 4qtrs



Source: DataStream, IBES MSCI, J.P. Morgan

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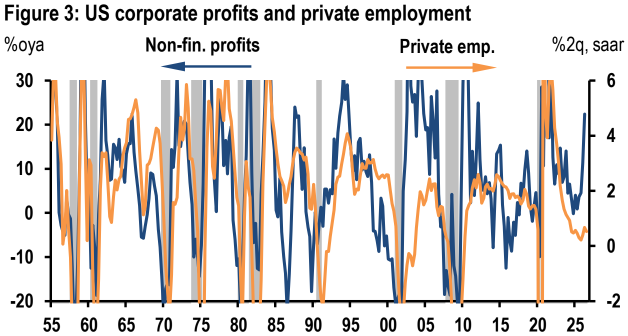
global employment up 0.5%ar in 1H26, less than half the pace consistent with the current GDP growth rate. While US GDP is projected to rise at a 2.75%ar this quarter, we anticipate a meager 50k job increase next week. Absent revisions, the monthly average gain would slip to 16k for the three months through August.

These developments set up a critical test ahead: will the rebalancing in demand underway boost job growth, or is structural change related to new technologies and weak labor supply producing a sustained shift towards productivity-led growth? We continue to project a balance between cyclical lift and structural change and expect global job growth to rise to a 1%ar pace, with US gains returning to triple-digits. While recognizing recent disappointments, our confidence that a labor market recoupling remains reasonable is sustained by two recent developments:

- **A chain from profits to job growth**. The recent profit surge has come on the back of weak job growth, but it should also become a catalyst for a rebound. The juxtaposition of weak US job growth, strong profits and supportive credit conditions is not a new one. When combined with solid growth, it has been a reliable signal that an acceleration in job growth lies ahead (Figure 3).

Figure 3: US corporate profits and private employment



Source: BLS, BEA, J.P. Morgan. Profit before-tax (IVA, CCA). Shading denotes US recessions.

- **Surveys show hiring intentions are up.** While job growth remains sluggish, surveys show hiring intentions picking up as we move through the current quarter. Indicative of this shift, the DM flash PMI employment index rose to its highest level in three years in August.

Warsh of many colors

Chair Warsh reiterated his distaste for forward guidance in today's Jackson Hole speech. But by using this forum to walk back July assertions and provide his first detailed description of the economy and the Fed reaction function, he signaled a rising risk that he will soon be an advocate for rate hikes. Resetting his July comments by stating that PCE inflation is a "firm fixed target" and that "short-term interest rates are the predominant tool to achieve the dual mandate" was not a surprise. What was a surprise was his description of financial conditions as not broadly restrictive, and his assessment that the inflation news is "concerning" as the recent moderation does "not tell me that underlying trends have materially improved." His conclusion that there will be "work to do" if the Fed does not gain confidence that underlying inflation is moving toward its objective reinforces our view that a tightening will come if core PCE inflation continues to track close to 3% and the unemployment rate remains stable.

While we maintain a forecast for a Fed hike in December, it is appropriate to view a September hike as now likely if August CPI and PPI readings are firm. Current committee dynamics suggest that a call for patience by Warsh would not deter an otherwise hawkish majority, but that his advocacy would be sufficient to deliver a September hike.

BoJ on track for September hike

The case for a BoJ hike in September is strengthening. The macro argument for a substantial policy adjustment is already well established and is being reinforced by incoming data. This week's August Tokyo CPI supports this view, confirming that inflation is already running above 2%. An upbeat July machinery orders report, highlighting sustained capex demand, will likely be reflected in next week's July IP release, which should show solid growth in both tech and non-tech manufacturing.

Market pressure for a hike remains significant as FX intervention and a more hawkish BoJ has not pushed USD/JPY materially stronger. Against this backdrop, Deputy Governor Himino's speech was notable for his statement that rate hikes would be discussed "at every Monetary Policy Meeting" keeping a September hike firmly on the table. We continue to expect hikes in September and December this year, followed by a move in rates above 2% next year.

The Asia domestic demand divide

While the tech spending boom continues to boost Asia activity, there is a significant intra-regional divide in domestic demand. In addition to benefiting from the broadening of demand elsewhere, Asia outside China is seeing booming profits crowding in a capex upturn, while growing tax windfalls are allowing policymakers to support households through cash transfers and other fiscal measures. In sharp contrast, China's domestic demand weakness is weighing on non-tech production, and GDP growth looks to have slipped to a roughly 3%ar in the middle two quarters of the year (Figure 4). China fiscal stimulus remains is anticipated to close

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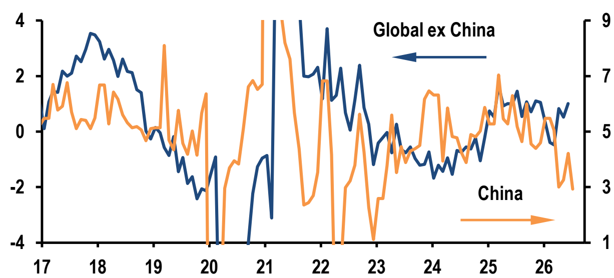
this gap, lifting China GDP growth to an expected 5%ar pace in the coming two quarters. But the latest news on government bond issuance remains disappointing. Policymakers appear to be intensifying efforts to accelerate project approvals and policy financing, but it is unclear when this will translate into the expected meaningful pickup in investment activity.

Figure 4: Non-tech manufacturing output
%oya, both scales; China thru July, global ex. thru June



Source: National sources, J.P. Morgan. Details on request.

Euro area growth is cruising close to 1.5%

We had expected fading trade policy risks and improved German fiscal delivery to push Euro area growth to an above-potential 1.75%ar this year, before the Middle East conflict prompted us to revise growth lower. The energy drag has proved smaller than expected, however, with the Euro area August composite PMI tracking above-trend 1.4%ar GDP growth. While aligned with our 2H26 forecast, the momentum in a broad range of surveys — along with the recent uptick in credit and profit growth — suggests risks are skewed to the upside. The recent details from 2Q26 national GDP reports suggest net trade and a falling household saving rate have provided the key sources of recent resilience. Over the coming quarters, a pickup in private sector investment and the delivery of Germany's fiscal ease should kick in to sustain above-potential growth. Higher energy prices remain the notable downside risk.

These developments have likely sealed the case for September ECB rate hike and point to pressure for additional moves. Our hesitation in forecasting a December hike is linked to expectations for a moderation in wage and price inflation. Survey readings point in this direction, and next week's flash inflation print should show a slowing in core inflation to 2.4%oya.

EM Asia tilts towards tightening…

Strong growth and gradually broadening inflation pressures point to monetary tightening across much of EM Asia. The BoK and BSP both delivered expected hikes this week, with Korean policymakers sharply upgrading their growth outlook and the BSP maintaining a distinctly hawkish tone despite softer activity data. We continue to expect further tightening in both economies, with the BSP likely to add another 50bp this year. There are growing risks that India and Taiwan will join this hiking club. A key exception remains Thailand, where weak but uneven growth continues to justify a prolonged hold.

…while EMEA EM is mostly easing

In EMEA EM, five of the region's seven central banks are expected to cut rates. In Türkiye, strong inflows have allowed the CBRT to begin normalizing funding conditions by effectively lowering interbank rates by 300bp. We expect gradual easing ahead, with 100bp rate cuts in October and December. Aided by sub-target inflation, Hungary also remains on an easing path, with the NBH likely to deliver another 25bp cut in September. Looking ahead to next week, we expect the Bank of Israel to deliver an out-of-consensus 25bp rate cut. In our view, Israel has transitioned into a lower-inflation regime, with risks increasingly skewed toward inflation undershooting rather than overshooting the target.

South Africa has been a hawkish outlier, but softer inflation and a stronger rand have reduced the urgency for further tightening, raising the possibility that the SARB will remain on hold despite markets continuing to price in additional hikes. We continue to pencil in a final 25bp hike in September, but the risks are increasingly shifting towards an extended hold.

LatAm growth paths diverge

Growth dynamics are increasingly diverging across Latin America's major economies. In Mexico, we have nudged our full-year 2026 GDP forecast higher to 1.5%. In addition to solid 2Q growth, firm external demand and growing traction from the government's industrial strategy support a more constructive 2H outlook. Brazil is moving in the opposite direction. We expect next week's 2Q GDP report to show growth slowing from 4.5%ar in 1Q to 2% in 2Q, with early 3Q data tracking a further downshift towards 1%. High debt-service burdens, slowing income growth, and weak corporate profitability are increasingly weighing on private-sector activity. While credit measures may provide temporary support, fading fiscal stimulus and still-restrictive monetary policy should push growth below potential over the coming quarters.

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US Indicator forecasts

J.P. Morgan Research versus the consensus

Release date/ Indicator	J.P. Morgan forecast	Consensus median	Consensus range
Tue, Sep 01			
Manufacturing PMI (Aug final)	53.5	53.3	53.2 to 53.7
ISM manufacturing (Aug)	55.0	55.2	54.5 to 57.3
Construction spending (Jul)	-0.2%	0.0%	-0.4% to 0.6%
JOLTS (Jul)	7200	7300k	7150k to 7690k
Light vehicle sales (Aug)	16.4 mn	16.3 mn	16.1 mn to 16.5 mn
Thu, Sep 03			
Initial claims (w/e Aug 29)	205k	205k	200k to 210k
International trade (Jul)	-$90.3bn	-$89.9 bn	-$91.3 bn to -$60.6 bn
Productivity (2Q rev)	1.4%	1.4%	1.2% to 1.5%
Unit labor costs	1.2%	1.3%	1.0% to 2.6%
Services PMI (Aug final)	56.5	56.8	53.4 to 57.0
ISM services (Aug)	54.0	54.1	52.8 to 56.2
Fri, Sep 04			
Employment (Aug)	50	58k	16k to 102k
Unemployment rate	4.1%	4.1%	4.0% to 4.2%
Average hourly earnings	0.3%	0.3%	0.0% to 0.5%
Average weekly hours	34.3	34.3	34.3 to 34.4

Source: J.P. Morgan, consensus forecasts reported by Bloomberg Finance L.P.

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Sources for all: ADP/Moody's Analytics, BEA, BLS, Census Bureau, Conference Board, Department of Labor, Federal Reserve Board, ISM, J.P. Morgan forecasts, NAHB, NAR, NFIB, NY Fed, Philadelphia Fed, S&P Global, Standard & Poor's, University of Michigan, US Treasury

Tue
Sep 1
9:45am

S&P Global manufacturing PMI (US final)
Index, sa

	Jul 25	Jul 26	Flash Aug 26	Final Aug 26
Composite	49.8	53.9	53.2	53.5
Output	51.3	53.9	51.9	
ISM-weighted composite	49.4	53.9	53.0	

Tue
Sep 1
10:00am

ISM manufacturing
Sa

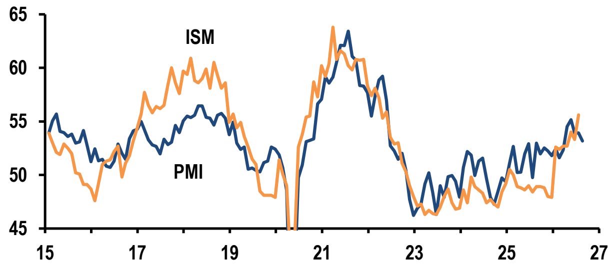
	May	Jun	Jul	Aug
Overall index	54.0	53.3	55.6	55.0
New orders	56.8	56.0	56.7	
Production	54.3	52.2	58.5	
Employment	48.6	49.7	52.8	
Supplier deliveries	60.6	57.4	58.9	
Inventories	49.9	51.4	51.2	
Export orders	50.6	48.5	53.0	
Imports	53.0	52.9	55.7	
Prices	82.1	73.0	71.1	

We expect the August ISM manufacturing survey to edge down to 55.0 from 55.6, while the final PMI is likely to hold broadly steady at 53.5, up slightly from the 53.2 preliminary reading but below July's 53.9. The ISM index continues to point to solid U.S. manufacturing activity, with the series having reached its strongest level of the current cycle in the second half of the year. The ISM-weighted composite of the already released July Empire, Philadelphia, Richmond, and Kansas City Fed surveys slipped to 55.7 from 56.1 in July. However, the decline in the flash PMI suggests manufacturing growth may be plateauing in August.

The weakness in the preliminary PMI manufacturing reading was attributed to fading precautionary demand from firms that had front-loaded orders during the Middle East conflict amid concerns over higher prices and shipping disruptions. This was reflected in declines in stocks and quantities of purchases in August, both of which fell close to pre-conflict levels. That said, the July ISM press release noted that "the Customers' Inventories Index remained in 'too low' territory, contracting at a faster rate," which could limit the risk of a more material downturn in coming months.

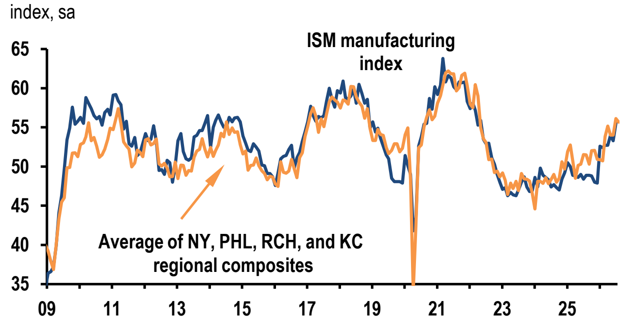
Concerns about price increases stemming from persistent supply chain challenges and tariff policies were also evident in qualitative comments from the July ISM report. Price indexes remain elevated despite moderating in recent months. The ISM prices index declined to 71.1 in July from 73.0 in June, with similar declines in input and output price measures in the early August PMI.

PMI and ISM manufacturing composites
Diffusion index, sa



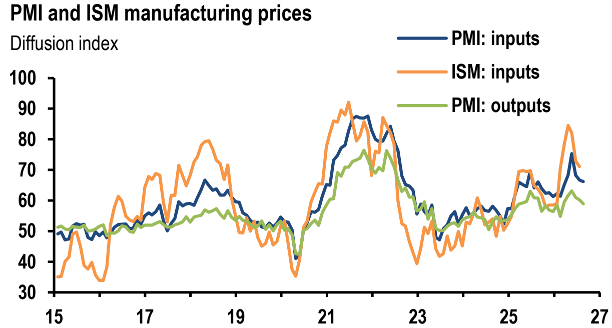
Source: S&P Global, ISM, J.P. Morgan

ISM manufacturing index and regional ISM-weighted composites
index, sa



Source: ISM, Federal Reserve Banks of NY and Philadelphia, J.P. Morgan

PMI and ISM manufacturing prices
Diffusion index



Source: S&P Global, ISM, J.P. Morgan

Tue
Sep 1
10:00am

JOLTS
Thousands, sa, unless noted

	Apr	May	Jun	Jul
Job openings	7585	7537	7359	7200
Job openings rate (%)	4.6	4.5	4.4	4.3
Hires	5215	5252	5348	
Hires rate (%)	3.3	3.3	3.4	
Separations	5038	5260	5351	
Separations rate (%)	3.2	3.3	3.4	
Quits	3043	3153	3232	
Quits rate (%)	1.9	2.0	2.0	
Layoffs	1667	1761	1766	
Layoffs rate (%)	1.0	1.1	1.1	

We look for the job openings rate in the JOLTS to fall from 4.4% in June to 4.3% in July. While the measure of daily job openings reported by Indeed inched higher through the month, growth in JOLTS has outpaced the Indeed index and similar private measures, which could signal some downtick

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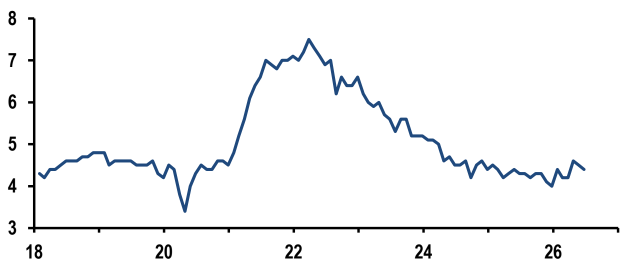
in job openings. Growth in non-farm payrolls was muted in June, with private payrolls up 30k and total employment down 23k, which could be reflected in lower hires, following a solid increase in the last report.

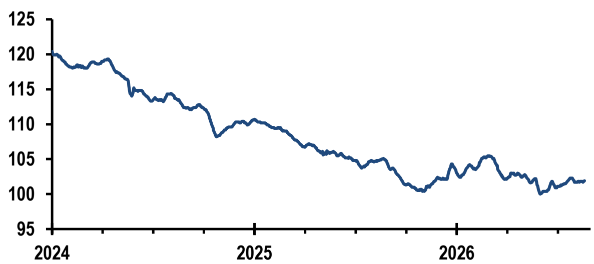
Other labor market indicators continue to be mixed, as the unemployment rate fell to 4.1%, while the labor market differential from the consumer confidence survey moved to a cycle low of 2.7%, before inching higher to 7.5% in August. Both quits and layoffs remain low, with information and mining/logging remaining the few industries with a sustained rise in layoffs.

Job openings rate
Percent, sa



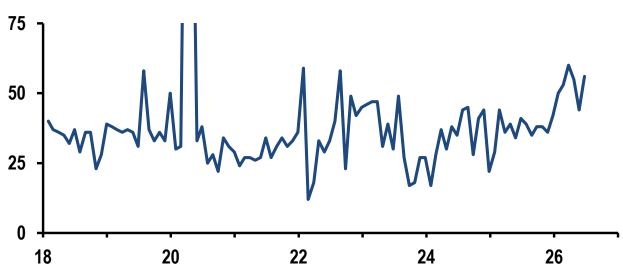
Source: BLS, J.P. Morgan

Daily Indeed job postings
Index, sa



Source: Indeed, J.P. Morgan

Layoff and discharge rate: information
Percent, sa



Source: BLS, J.P. Morgan

Tue
Sep 1
10:00am

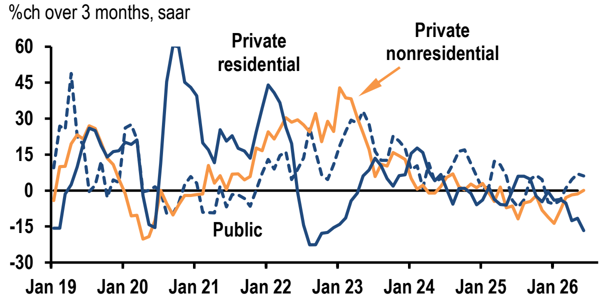
Construction spending
%m/m, sa

	Apr	May	Jun	Jul
Nominal	-1.4	0.0	-0.1	-0.2
Private	-2.2	-0.2	-0.1	-0.4
Residential	-3.9	-0.3	-0.3	-1.0
New residential	0.7	-0.2	-0.6	-1.9
Improvements	-10.1	-0.4	0.1	
Nonresidential	0.0	-0.1	0.1	0.3
Public	0.9	0.6	0.0	0.4

We project construction spending to fall 0.2%m/m in July after a soft 0.1% decline in June. Much of this weakness stems from a large 10% contraction in single-family housing starts, along with a 21% fall in the volatile multifamily segment, reflecting elevated inventory levels, higher borrowing costs and affordability concerns among consumers.

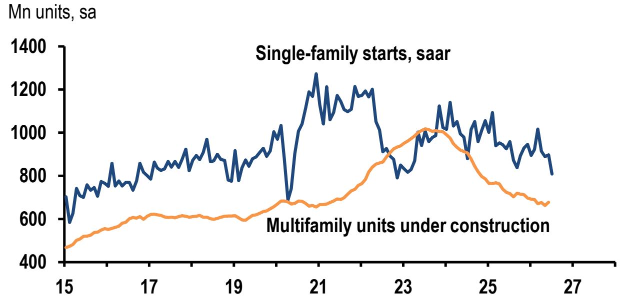
Nonresidential construction has been weak since 4Q25, as manufacturing construction spending continues to be weighed down by the unwind of earlier CHIPS Act-related investment and recent softness in commercial construction. However, data center construction continues to rise, increasing 7% m/m in June. Solid July IP readings, along with elevated PPI and import prices for computers and peripherals, point to further strength.

Main categories of construction spending, nominal spending
%ch over 3 months, saar



Source: Census Bureau, J.P. Morgan

Leading indicators of residential construction spending
Mn units, sa



Source: Census Bureau, J.P. Morgan

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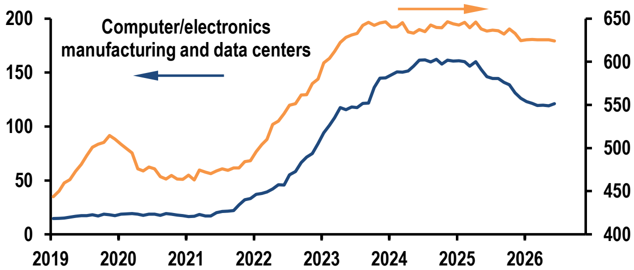
Private construction: computer mfg + data centers. vs other nonres

$bn, saar, both sales



Source: Census Bureau, J.P. Morgan

Tue
Sep 1

Light vehicle sales

Millions, saar

	May	Jun	Jul	Aug
Light trucks and autos	16.3	16.6	16.3	16.4
Domestics	12.6	12.7	12.5	
Autos	1.8	1.8	1.8	
Light trucks	10.8	10.9	10.6	
Imports	3.7	3.9	3.9	

Our autos equity team expects light vehicle sales in August to inch up to 16.4mn from 16.3mn in July, as the combination of rising equity prices and affordability concerns keep sales steady. They also note that the recent announcement of tariffs on Canada could result in a ~1% rise in costs for automakers.

Thu
Sep 3
8:30am

Productivity and costs

Nonfarm business sector, %q/q, saar, unless noted

	1Q26	Rev 1Q26	Pre 2Q26	Rev 2Q26
Productivity	0.8	0.8	1.4	1.4
%oya	2.9	2.9	2.2	2.2
Output	1.5	1.5	1.7	1.7
%oya	3.3	3.3	2.5	2.5
Hours	0.7	0.7	0.3	0.3
%oya	0.4	0.4	0.2	0.2
Hourly compensation	2.1	2.1	2.7	2.7
%oya	3.3	3.3	3.7	3.7
Unit labor costs	1.3	1.3	1.3	1.2
%oya	0.4	0.4	1.4	1.4

Productivity growth is likely to remain stable at 1.4%q/q saar in the revised 2Q report, with a similar over-year-ago pace of 2.2%. Much of the report is expected to remain unchanged, apart from a slight downtick in unit labor costs, which fall to 1.2% from 1.3% in the preliminary report. We estimate the over-year-ago rate will remain at 1.4%.

Thu
Sep 3
8:30am

International trade

$billion, samr

	Apr	May	Jun	Jul
Balance(BOP basis)	-54.6	-77.6	-73.3	-90.3
Services	28.3	28.3	28.8	29.3
Goods	-82.9	-106.0	-102.1	-119.6
Exports (%m/m)	3.0	-3.2	-0.9	-1.7
Services	0.1	0.4	1.0	0.8
Goods	4.4	-4.9	-1.9	-2.9
Imports (%m/m)	2.0	3.3	-1.8	3.1
Services	1.6	0.5	0.7	0.5
Goods	2.1	4.0	-2.5	3.7

We expect the trade deficit to widen to $90.3bn in July from $73.3bn in June. This largely reflects the already released advance goods trade report, which showed exports falling another 2.9% while imports rose 3.7%. In services, World Cup-related support should continue to sustain a solid pace of exports in July, driven by international travel, tourism spending, and IP exports related to broadcasting rights.

Thu
Sep 3
8:30am

Jobless claims

Thousands, sa

	New claims (wr.) Wkly	4-wk avg	Continuing claims Wkly	4-wk avg	Insured Jobless,%
Jun 20	216	225	1806	1801	1.2
Jun 27	217	223	1821	1810	1.2
Jul 4	217	219	1798	1809	1.2
Jul 11	209	215	1789	1804	1.2
Jul 18[1]	189	208	1777	1796	1.2
Jul 25	198	203	1799	1791	1.2
Aug 1	200	199	1781	1787	1.2
Aug 8	212	200	1796	1788	1.2
Aug 15[1]	207	204	1778	1789	1.2
Aug 22	203	206			
Aug 29	205	207			

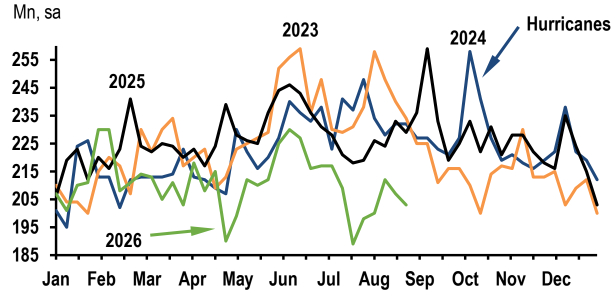
1. Payroll survey week

We expect initial jobless claims to remain broadly stable at 205k in the week ending August 29 from 203k in the prior week. The series continues to move below prior years, and remains an optimistic indicator of labor market strength. Residual seasonality has held jobless claims at steady levels through the end of August in the recent years, which would push the four-week average to 207k.

Continuing claims have been moving in a narrow range since the middle of July, and residual seasonality could push them down slightly through early September. Claims suggest that the unemployment rate will continue dropping over time, though we expect the rate remained stable in August.

Initial jobless claims, comparison by week to prior years (SA)

Mn, sa



Source: Department of Labor, J.P. Morgan

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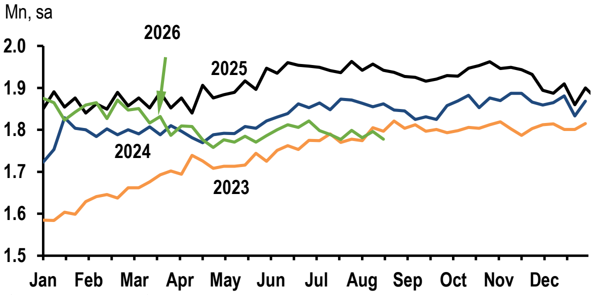
Continuing jobless claims, by week of the year (SA)

Mn, sa



Source: Department of Labor, J.P. Morgan

Thu
Sep 3
9:45am

S&P Global services PMI (US final)

Index, sa

	Jul 25	Jul 26	Flash Aug 26	Final Aug 26
Business activity	55.7	54.6	56.8	56.5
New business	54.1	54.2	55.3	

Thu
Sep 3
10:00am

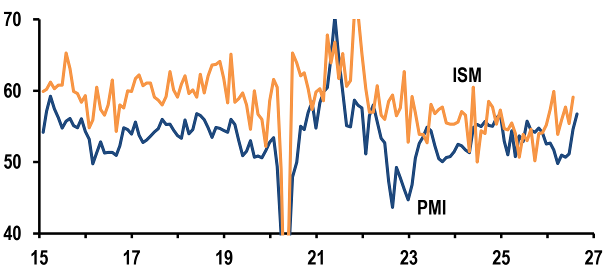
ISM services

Sa

	May	Jun	Jul	Aug
Headline composite	54.5	54.0	54.1	54.0
Business activity	57.7	55.4	59.1	
New orders	57.3	55.1	57.2	
Employment	47.9	51.2	47.4	
Prices	71.3	67.7	70.3	

PMI and ISM services business activity

Diffusion index, sa



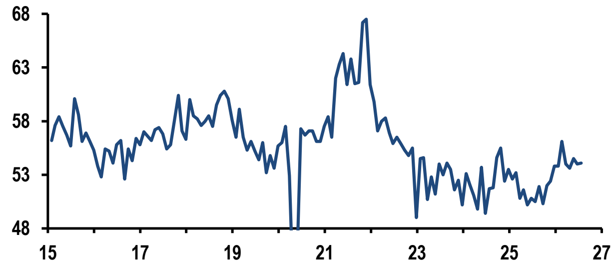
Source: S&P Global, ISM, J.P. Morgan

We expect the August ISM services composite to hold steady at 54.0, little changed from 54.1 in July. We also expect the final PMI services business activity index to edge down to 56.5 from the 56.8 preliminary reading, though still above July's 54.6. Despite concerns that the World Cup-related boost to services activity may be fading, the early PMI print rose to one of the highest levels of the current cycle. Meanwhile, the ISM services series has moved sideways in recent months, with both business activity and new orders edging higher in July.

Inflationary pressures remained firm in July, as the ISM prices index rose to 70.3 from 67.7 in June and the PMI price measures climbed to their highest levels since the post-Liberation Day spike early last year. However, the August PMI report pointed to some moderation: input prices fell to 59.3 from 63.0 in July, while output prices declined to 55.4 from 58.5. This was accompanied by a notable rise in the employment index, which increased to 53.2 in the early August survey from 50.8 in July.

ISM services composite

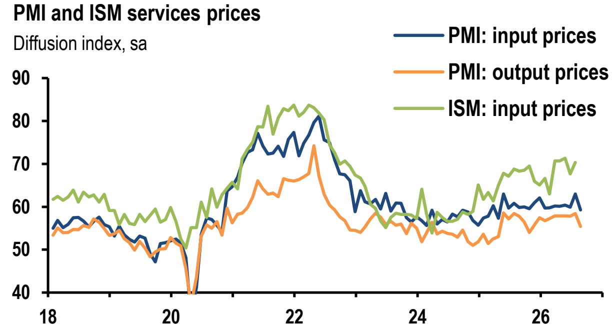
Diffusion index, sa



Source: ISM, J.P. Morgan

PMI and ISM services prices

Diffusion index, sa



Source: S&P Global, ISM, J.P. Morgan

Fri
Sep 4
8:30am

Labor-market report

Sa

	May	Jun	Jul	Aug
Payroll employment				
(ch, m/m, 000s)	63	20	-23	50
Private payrolls	61	30	30	40
Goods-producing	3	14	25	0
Construction	2	5	22	5
Manufacturing	-2	11	5	-5
Service-providing	60	6	-48	50
Private service-providing	58	16	5	40
Wholesale trade	3	3	5	
Retail trade	5	-4	-19	
Professional services	6	34	18	
Temporary help	0	11	3	
Education/health	24	54	25	
Leisure and hospitality	42	-43	-40	
Government	2	-10	-53	10
Average weekly hours	34.3	34.3	34.3	34.3
Index, hrs worked (%m/m)	0.1	0.0	0.0	0.0
Hourly earnings (%m/m)	0.2	0.3	0.1	0.25
(%oya)	3.3	3.4	3.2	3.0
Unemployment rate (%)	4.3	4.2	4.1	4.1
Participation rate (%)	61.8	61.5	61.4	61.5

We expect that nonfarm payrolls rose 50k in August (40k private) and that the unemployment rate held at 4.1%. We also look for a stable workweek at 34.3 and average hourly earnings growth of 0.25%m/m.

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Establishment survey

Private sector employment growth has averaged in the 40-55k range over the past 3, 6, and 12 months and we think that underlying trend is continuing, though there are a few factors that could dampen August job growth. While this growth isn't that strong on a historical basis, we think a low breakeven rate means that the labor market is doing reasonably well, as captured by the falling unemployment rate.

NFP growth, average over recent months (000s)

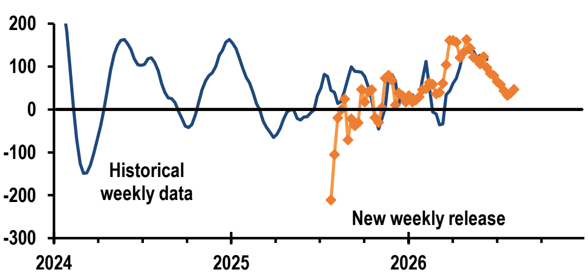
	12 months	6 months	3 months
Total	26	44	20
Private	53	54	40
Federal govt	-21	0	1
S&L govt	-5	-10	-21
Total ex federal govt	47	45	19

Source: BLS, J.P. Morgan

The weekly ADP data shows cumulative private-sector job gains of 47k in the four weeks to the week ending August 8, which is one week prior to the August payroll survey week — the week including the 12th of the month. This is very similar to the 43k gain in the four weeks through the July survey week, so ADP is pointing at roughly stable job growth. Jobless claims did rise 18k between the July and August survey weeks, though the July print had been unusually low and claims remain well below prior-year levels, so we still take this as a decently positive sign.

ADP four week change in private payroll employment

Cumulative change in 000s, sa



Source: ADP, J.P. Morgan

The PMI employment index also rose over 2pt in August, to the best level since the start of 2025, though this tends to have a loose relationship to employment growth. The Conference Board labor market differential also rebounded in August from a July cycle low to the best level since April, and the NFIB labor metrics rose in July, though both of these are more correlated with the unemployment rate. Indeed job openings have been stable between July and August, and JOLTS job openings had a 2Q average that was the highest in a couple years.

Labor market indicators

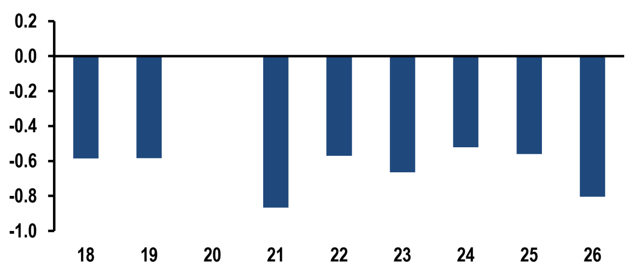
	Aug 25	Feb 26	Mar 26	Apr 26	May 26	Jun 26	Jul 26	Aug 26
Nonfarm payroll employment (m/m ch, 000s)	-70	-156	214	148	63	20	-23	
Ex federal government	-51	-160	221	149	59	19	-20	
Private	-20	-148	202	150	61	30	30	
Initial jobless claims (payroll reference week)	233	208	205	215	210	227	189	207
Four-week average	226	220	211	211	203	224	208	204
Continuing jobless claims (payroll reference week)	1.942	1.827	1.816	1.776	1.785	1.812	1.777	1.778
Four-week average	1.951	1.848	1.846	1.795	1.773	1.792	1.796	1.789
CB labor market differential	11.1	5.7	6.1	7.5	5.0	3.8	2.7	7.5
PMI all-industry employment	52.1	50.4	49.7	50.2	47.9	49.1	50.8	53.0
ISM all-industry employment	46.7	51.6	45.5	47.9	48.0	51.1	47.8	
Fed surveys all-industry employment	50.1	49.6	50.0	49.3	50.3	52.5	52.8	51.3
Chicago Fed CFSEC current hiring	-18.4	-30.6	-23.7	-20.5	-7.3	-5.2	-2.6	-16.1
NFIB: net % percent planning to increase employment	15	12	12	13	9	11	20	
NFIB: % of firms with open positions	32	33	32	34	29	32	36	
Indeed job openings index (average)	104.8	104.6	103.9	102.7	101.9	100.8	101.6	101.8
FRB Cleveland WARN factor (layoff indicator, nsa)	-0.72	0.04	-0.26	-0.06	-0.16	-0.51	-0.24	
Challenger announced job cuts (000s, nsa)	86	48	61	83	97	46	33	
Ex government	83	48	59	74	93	44	30	
Census BTOS employee index (average, nsa)	48.0	47.2	47.7	48.0	48.4	48.7	48.6	48.2
ADP private employment (m/m ch, 000s)	49	66	61	105	122	95	44	
Revelio private employment (m/m ch, 000s)	11	1	38	54	45	82	70	
Revelio government employment (m/m ch, 000s)	-17	-4	-1	0	-2	46	13	
Intuit small business employment (%m/m)	0.07	-0.11	-0.11	-0.09	-0.07	-0.10	-0.11	

Source: BLS, DoL, S&P Global, ISM, Federal Reserve system, NFIB, Indeed, Challenger, ADP, Revelio, Inuit, J.P. Morgan

Slightly less favorable was Homebase employment, which looks soft between the July and August payroll survey weeks. Daily data shows the index outperforming 2025 during the July survey period, but converging closer to 2025 by the time of the August week.

Homebase change in employment from July to Aug payroll week

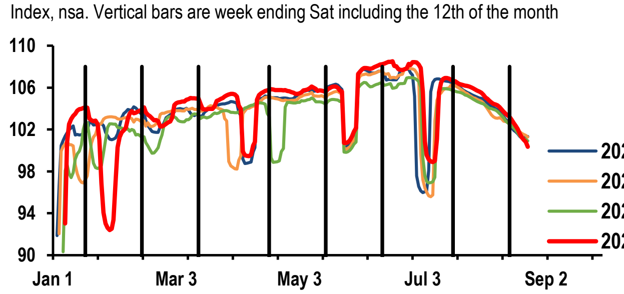
%ch per week, nsa. Change is between the week ending Sat including the 12th



Source: Homebase, J.P. Morgan

Homebase index, 7-day average of daily employment

Index, nsa. Vertical bars are week ending Sat including the 12th of the month



Source: Homebase, J.P. Morgan. Note that most recent values get revised up

Seasonal factors and industry considerations

One factor that could hold August back is potential summer weakness. Growth on average has been slow in each of the last couple summers, and private jobs have fallen in August in each of the last two years. Looking since 2010, August first prints have averaged 40k below the trailing three-month average.

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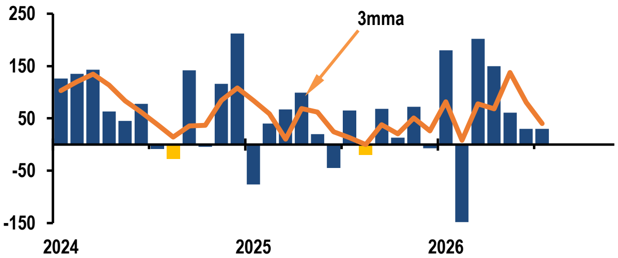
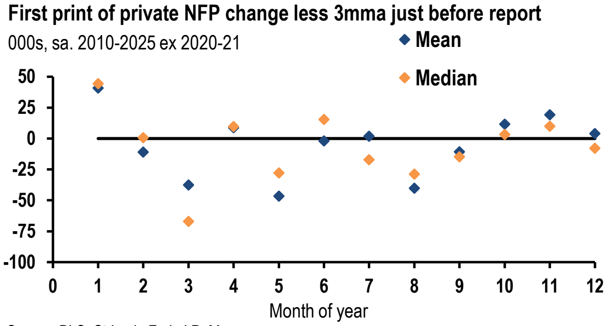
Private payroll growth
m/m in 000s, July months highlighted in yellow



Source: BLS, J.P. Morgan

First print of private NFP change less 3mma just before report
000s, sa. 2010-2025 ex 2020-21



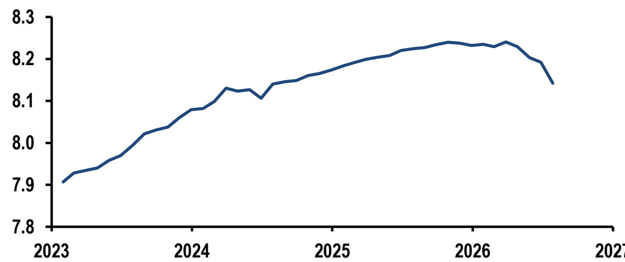
Source: BLS, St Louis Fed, J.P. Morgan

Another consideration is the end of Temporary Protected Status for around 350,000 Haitians on July 27, at which point any work permits obtained via this status were terminated. While this change in status could affect a sizable number of working-age individuals, the effects could be drawn out. Immigrants may be slow to report a change in immigration status to an employer, and employers don't always maintain records that would allow them to identify which of their employees have been affected. In addition, employers could reach out to employees and ask for an updated employment authorization document (EAD) instead of immediately terminating them, since workers may be able to obtain an EAD under an alternative immigration status. In addition, some people may have been employed without a valid EAD to begin with. Finally, the number of people forcibly removed from the country is still small so far, with the first deportation flight not occuring until August 20.

Employment related to the World Cup also should have wound down by early August. We've previously found little evidence that this was providing an employment lift, so we likewise don't expect much of a drag, though on the margin this could lead to some small job loss.

A final point is what happens to local government education employment, which fell 50k in July. There were five weeks between the June and July payroll survey weeks, which tends to be associated with below-trend growth in seasonally adjusted education employment. However, this hasn't usually been associated with much of an August rebound. For instance, in the prior 25 years, excluding COVID, there have been four other instances with a five-week payroll week gap in July. In only one instance (2004) did local government education payrolls subsequently increase in August, and then only by 9k. Further, we don't think this year's large drop was just a seasonal quirk. Educational employment has been falling since April. News reports have noted staffing cuts related to the prior end of pandemic-era federal aid to schools. Fiscal year budgets and thus new staffing levels often need to be adopted by July 1, which could have driven the timing of recent job cuts. That could also mean, however, that cuts should have come to an end, or at least moderated, by August.

Local government education employment
Mn, sa

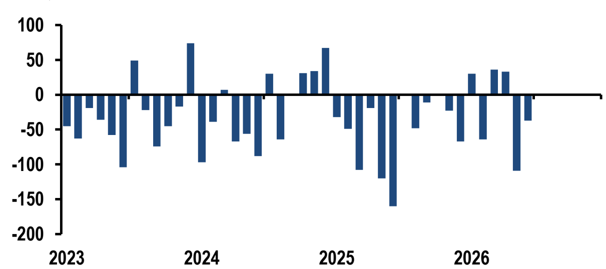


Source: BLS, J.P. Morgan

Revisions

The July jobs report brought the return of large negative revisions, though the overall revision pattern has become more balanced over the last 12 months. The second revision to June has often been negative so another downward revision could occur. The first revision of July has also tended to be mildly mildly negative, though that could be reversed in the second July revision.

Revision to change in nonfarm payrolls, 1st to 3rd estimate
000s, sa. Last bar is 1st to 2nd estimate



Source: BLS, J.P. Morgan

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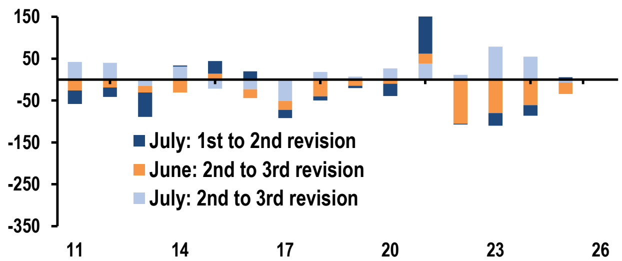
Revision pattern for June and July payrolls

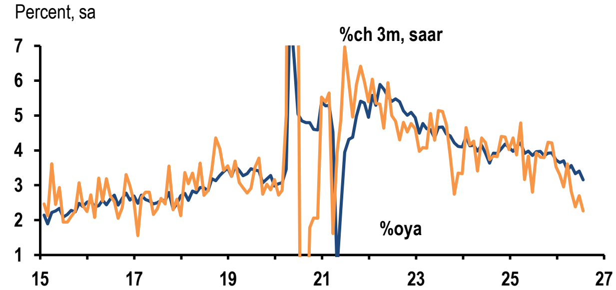
000s



Source: BLS, J.P. Morgan

Average hourly earnings growth

Percent, sa

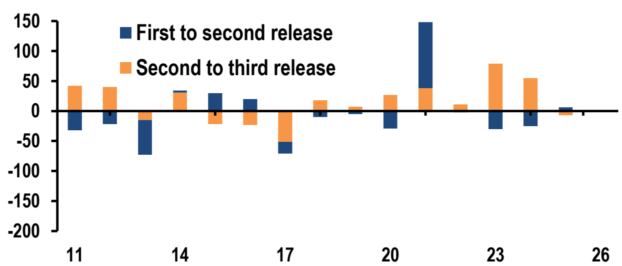


Source: BLS, J.P. Morgan

As for future revisions to August, there isn't clear directionality on the first revision, though there may be a tendency for the second revision to be positive.

Revisions to August nonfarm payrolls

000s, sa



Source: BLS, J.P. Morgan

Hours and earnings

After chopping back and forth between 34.2 and 34.3 hours, the workweek has managed to hold at 34.3 for four straight months in a sign of an improving jobs market, and we expect that to again remain stable.

Average hourly earnings have continued to soften, rising just 0.05%m/m in July, and we expect some recovery in August. Growth rates can be higher when there are fewer weekdays in the month. August can have 21 to 23 weekdays, and this year there are just 21, another reason to expect higher earnings. We look for growth of 0.25%m/m.

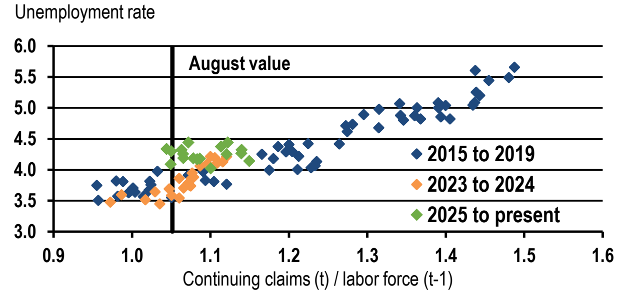
Household survey

The unrounded unemployment rate has fallen steadily for three straight months, including a 10bp drop from June to July, to 4.09%. We expect the rounded rate to hold at 4.1%, though continuing claims do suggest downward pressure on the rate could continue over time.

Leading indicators of unemployment have all started to turn in a better direction recently. While continuing claims had begun to improve late last year and the Manpower survey in June, the NFIB measure of hiring plans and the Conference Board labor market differential had continued to weaken. But both of those measures have started to improve, with the NFIB gaining in July and the labor market differential in August. Both continuing claims and the NFIB metric suggest the unemployment should keep gradually declining over time. The Conference Board measure is less clear on that, as it only improved back to where it was in April.

Unemployment rate vs. continuing claims to labor force ratio

Unemployment rate



Source: Department of Labor, BLS, J.P. Morgan

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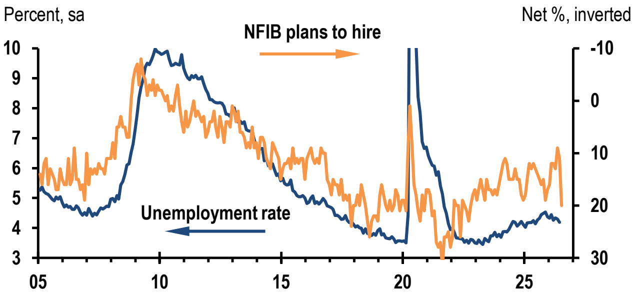
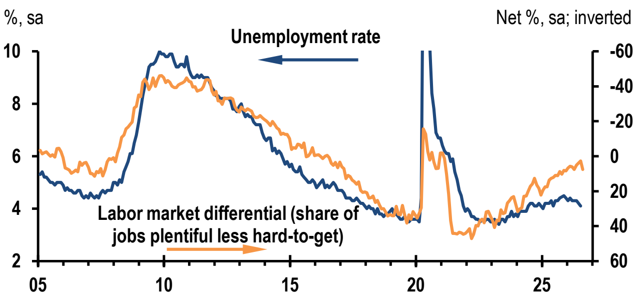
Unemployment rate vs. NFIB plans to hire



Source: BLS, NFIB, J.P. Morgan

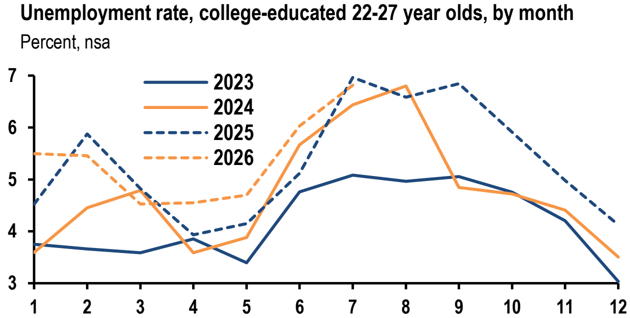
Unemployment rate and Conference Board labor market differential



Source: BLS, Conference Board, J.P. Morgan

In terms of seasonal effects on unemployment, younger college graduates have recently tended to exhibit higher unemployment during the summer than they did back in 2023, or when the unemployment rate was at a similar level in the pre-COVID period. This pattern has continued to play out this year and at the margin could put upward pressure on the unemployment rate, though so far this hasn't stopped the overall rate from continuing to drop.

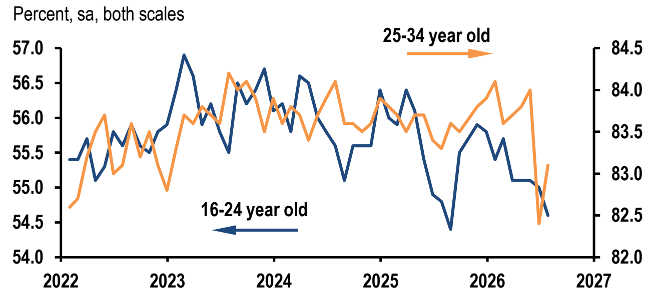
Unemployment rate, college-educated 22-27 year olds, by month



Source: BLS, J.P. Morgan

The overall participation rate has continued to grind lower, falling from 61.8% in May to 61.5% in June and 61.4% in July. We look for it to increase back to 61.5% in August. There is residual seasonality in the 16-24 year old population that will probably keep pushing down that age group's rate through August, though an unusual drop in the 25-34 year old group in June has only partially reversed, and thus still likely has room to rise in August. The 25-34 year old labor force is almost twice as large as the 16-24 year old segment.

Participation rate by age group



Source: BLS, J.P. Morgan

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J.P. Morgan US forecast

	%q/q, saar								%q4/q4			%y/y		
	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	2025	2026	2027	2025	2026	2027
Gross domestic product														
Real GDP	0.5	2.1	1.5	2.8	1.8	2.3	2.3	1.8	2.0	2.0	2.0	2.1	2.1	2.1
Final sales	0.3	1.9	2.2	1.4	1.2	2.2	2.2	1.8	2.2	1.7	2.0	2.2	2.2	1.8
Domestic	0.6	2.2	3.3	3.1	2.2	2.4	2.4	1.9	1.8	2.7	2.2	2.4	2.3	2.4
Consumer spending	1.9	0.5	3.4	2.8	1.5	2.0	2.0	1.5	2.1	2.1	1.7	2.6	2.2	2.0
Business investment	2.4	10.6	8.5	7.3	6.4	4.6	4.6	3.7	5.6	8.2	4.1	4.1	6.8	5.3
Equipment	4.3	15.8	13.6	12.0	10.0	5.0	5.0	4.0	9.6	12.8	4.5	8.3	10.6	7.1
Structures	-6.5	-4.7	-1.8	-3.0	-4.0	2.0	2.0	2.0	-5.5	-3.4	2.0	-5.3	-4.5	0.0
Intellectual property products	5.4	13.8	8.8	7.0	7.0	5.0	5.0	4.0	8.0	9.1	4.5	5.6	9.0	5.7
Residential investment	-1.7	-7.8	1.3	-2.0	0.0	4.0	6.0	3.0	-3.8	-2.2	4.0	-2.2	-3.6	2.5
Government	-5.6	4.4	-1.0	1.2	1.4	1.5	1.5	1.5	-1.2	1.5	1.5	1.1	0.3	1.3
Net exports ($bn, chained $2017)	-969	-1002	-1084	-1188	-1257	-1277	-1297	-1310	-	-	-	-	-	-
Exports (goods and services)	-3.2	10.9	4.5	1.0	2.5	1.5	1.5	1.0	1.1	4.7	1.2	1.6	4.2	1.7
Imports (goods and services)	-1.0	11.8	12.5	12.0	9.0	3.0	3.0	2.0	-1.9	11.3	2.5	2.7	4.1	5.5
Inventories (ch $bn, chained $2017)	-15.6	-16.7	-53.1	24.7	60.8	65.6	66.7	65.6	-	-	-	-	-	-
Contribution to real GDP growth (% pts):														
Domestic final sales	0.6	2.2	3.4	3.2	2.3	2.5	2.6	2.0	1.8	2.7	2.2	2.4	2.3	2.4
Net exports	-0.2	-0.4	-1.1	-1.7	-1.1	-0.3	-0.3	-0.2	0.4	-1.0	-0.2	-0.1	-0.1	-0.6
Inventories	0.1	0.2	-0.7	1.3	0.6	0.1	0.0	0.0	-0.2	0.3	0.0	-0.1	-0.1	0.2
Income and profits (NIPA basis)														
Adjusted corp profits	26.3	7.0	41.5	9.2	10.1	7.2	6.3	6.6	6.4	16.2	6.3	0.0	0.0	9.4
Real disposable personal income	-0.9	0.9	-1.5	0.8	0.2	1.5	1.8	1.2	1.0	0.1	1.5	0.0	0.0	1.0
Nominal disposable personal income	2.0	5.5	3.8	3.2	3.7	3.4	3.9	3.8	3.9	4.1	3.8	2.6	3.7	3.6
Saving rate[1]	3.8	3.9	2.8	2.3	2.0	1.9	1.9	1.8	-	-	-	4.6	2.8	1.9
Prices and labor cost														
Consumer price index	2.5	3.6	6.1	1.4	3.7	1.1	1.6	2.4	2.7	3.7	2.0	2.7	3.4	2.3
Core	2.0	2.8	2.9	2.0	2.8	2.6	2.5	2.6	2.7	2.6	2.6	2.9	2.6	2.6
PCE deflator	2.9	4.6	5.3	2.5	3.5	1.9	2.1	2.6	2.8	4.0	2.3	2.6	3.7	2.7
Core	2.7	4.4	3.6	2.9	3.1	2.8	2.6	2.7	2.9	3.5	2.7	2.8	3.4	2.8
GDP chain-type price index	3.7	3.6	6.4	2.5	3.5	1.9	2.1	2.6	3.3	4.0	2.3	2.8	3.9	2.7
S&P/C-S house price index (%oya)	1.3	0.8	1.2	0.0	0.0	3.0	3.0	3.0	1.3	0.0	3.0	2.2	0.5	3.0
Employment Cost Index	3.0	3.7	3.6	3.0	3.1	3.2	3.3	3.4	3.4	3.3	3.3	3.5	3.4	3.2
Productivity	1.6	0.8	1.4	2.9	1.3	2.4	2.0	1.6	2.5	1.6	1.7	2.3	2.1	1.9
Other indicators														
Housing starts (mn units, saar)[1]	1.323	1.418	1.337	1.313	1.350	1.350	1.400	1.400	-	-	-	1.371	1.356	1.388
Industrial production, mfg.	-3.6	1.7	5.2	1.9	1.0	1.0	1.0	1.0	1.3	2.4	1.0	-1.0	0.9	1.4
Light vehicle sales (mn units, saar)[1]	15.7	15.5	16.4	15.5	15.5	15.8	15.8	15.8	-	-	-	16.2	15.7	15.8
Unemployment rate[1]	4.5	4.3	4.3	4.1	4.1	4.0	4.0	4.0	-	-	-	4.6	4.7	4.0
Payroll employment (ch, '000s, samr)[1]	-30	43	96	50	100	100	50	50	-	-	-	0	0	63
Nominal GDP	4.2	5.8	8.0	5.3	5.3	4.2	4.4	4.4	5.4	6.1	4.4	5.0	6.1	4.9
Current account balance ($bn)[1]	-221	-227	-259	-268	-277	-287	-287	-287	-	-	-	-1177	-1031	-1149
% of GDP	-2.8	-2.8	-3.2	-3.3	-3.3	-3.4	-3.4	-3.3	-	-	-	-3.8	-3.2	-3.4
Federal budget balance ($bn)[1]	-	-	-	-	-	-	-	-	-	-	-	-1775	-2020	-1960
% of GDP	-	-	-	-	-	-	-	-	-	-	-	-5.8	-6.3	-5.8

1. Entries are average level for the period. Federal balance figures are for fiscal years.

	Aug 28	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
Interest rate forecast (end of period)							
Fed funds target (top of range)	3.75	3.75	4.00	4.00	4.00	4.00	4.00
2-yr Treasury	4.35	4.25	4.30	4.30	4.30		
5-yr Treasury	4.48	4.45	4.45	4.45	4.45		
10-yr Treasury	4.72	4.80	4.85	4.85	4.85		
30-yr Treasury	5.21	5.35	5.40	5.40	5.40		

Source: J.P. Morgan

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US economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Dallas Fed manufacturing**(10:30am) Aug	**1 Sep** **JOLTS**(10:00am) Jul 7.2mm **ISM manufacturing**(10:00am) Aug 55.0 **Construction spending**(10:00am) Jul -0.2% **Light vehicle sales** Aug 16.4mm Fed Governor Barr speaks(9:05am)	**2 Sep** **ADP employment**(8:15am) Aug **Factory orders**(10:00am) Jul **Beige book**(2:00pm)	**3 Sep** **Productivity and costs final**(8:30am) 2Q 1.4% Unit labor costs 1.2% **International trade**(8:30am) Jul -$90.3bn **Initial claims**(8:30am) w/e Aug 29 205,000 **Services PMI**(9:45am) Aug final 56.5 **ISM services**(10:00am) Aug 54.0 Announce 3-year note $58bn Announce 10-year note (r) $39bn Announce 30-year bond (r) $22bn Fed Governor Waller speaks(8:30am) Cleveland Fed President Hammack speaks(3:00pm)	**4 Sep** **Employment**(8:30am) Aug 50,000 Unemployment rate 4.1% Average weekly hours 34.3 Average weekly hours 0.25%m/m
7 Sep **Labor Day, Markets closed**	**8 Sep** **NFIB survey**(6:00am) Aug **Consumer credit**(3:00pm) Jul Auction 3-year note $58bn	**9 Sep** **QSS**(10:00am) 2Q Auction 10-year note (r) $39bn	**10 Sep** **PPI**(8:30am) Aug **Initial claims**(8:30am) w/e Sep 5 **Wholesale trade final**(10:00am) Jul **Existing home sales**(10:00am) Aug Auction 30-year bond (r) $22bn Announce 10-year TIPS (r) $19bn Announce 20-year bond (r) $13bn	**11 Sep** **CPI**(8:30am) Aug **Consumer sentiment**(10:00am) Sep preliminary **Federal budget**(2:00pm) Aug
14 Sep	**15 Sep** **Empire State survey**(8:30am) Sep Auction 20-year bond (r) $13bn	**16 Sep** **Import prices**(8:30am) Aug **Retail sales**(8:30am) Aug **Business leaders survey**(8:30am) Sep **NAHB survey**(10:00am) Sep **Business inventories**(10:00am) Jul **FOMC meeting**(2:00pm) Sep **TIC data**(4:00pm) Jul	**17 Sep** **Housing starts**(8:30am) Aug **Initial claims**(8:30am) w/e Sep 12 **Philadelphia Fed manufacturing**(8:30am) Sep **Pending home sales**(10:00am) Aug Auction 10-year TIPS (r) $19bn Announce 5-year note $70bn Announce 2-year FRN (r) $28bn Announce 2-year note $69bn Announce 7-year note $44bn	**18 Sep** **Industrial production**(9:15am) Aug **Leading indicators**(10:00am) Aug
21 Sep Chicago Fed President Goolsbee speaks(6:30am)	**22 Sep** **Richmond Fed survey**(10:00am) Sep Auction 2-year note $69bn	**23 Sep** **Services PMI**(9:45am) Sep flash Auction 5-year note $70bn Auction 2-year FRN (r) $28bn	**24 Sep** **Initial claims**(8:30am) w/e Sep 19 **Current account**(8:30am) 2Q **New home sales**(10:00am) Aug **KC Fed survey**(11:00am) Sep Auction 7-year note $44bn	**25 Sep** **Durable goods**(8:30am) Aug **Consumer sentiment**(10:00am) Sep final

Source: Private and public agencies and J.P. Morgan. Further details available upon request.

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